

BUSINESS ANALYSIS METHODOLOGY DOCUMENT

Objective

The objective of this assignment was to identify and evaluate 25 high-quality specialty manufacturing companies operating in a selected Indian city, using a structured filtering and scoring framework (Federer Score). The focus was on companies where a technical, process-driven growth approach would naturally fit.

2. Scope Definition

City Selection

- Chosen City: Pune

- Rationale:

Pune is one of India's leading industrial hubs with strong clusters in specialty chemicals, polymers, and process manufacturing. It offers a high density of mid-sized, promoter-led manufacturing firms, making it ideal for this analysis.

Industry Segment Selection

- Selected Segment: Specialty Chemicals (Basket A)

Sub-segments covered:

- Performance chemicals (coatings, additives, surfactants)

- Custom synthesis & intermediates

- Aroma & fine chemicals

- Polymer & silicone-based specialty chemicals

Rationale:

Specialty chemicals were chosen because:

- They involve high technical complexity
- Require in-house manufacturing and R&D
- Operate in export-driven, high-growth sectors
- Naturally align with structured experimentation and scaling frameworks

3. Research Process

Step 1: Broad Company Discovery (75–100 companies)

Initial company identification was conducted using:

- Google Search Queries:
 - “specialty chemical companies in Pune
 - “fine chemical manufacturers India Pune”
 - “polymer additive manufacturers Pune”
- Professional Platforms:
 - LinkedIn (company pages, hiring signals)
 - Company websites (product + manufacturing validation)
- Industry Directories:
 - IndiaMART
 - TradeIndia
 - Chemical industry listings

Step 2: Primary Filtering (Quick Elimination)

Each company was quickly screened (~30–60 seconds per company) based on:

- Presence of functional website
- Evidence of physical product manufacturing

- Operational presence in Pune (not just sales office)

Step 3: Auto-Disqualification Rules Applied

Companies were rejected if they met any of the following:

- Trader / distributor / importer
- Service companies (CROs, labs, consulting firms)
- Generic pharma companies
- Revenue above Rs.500Cr
- Subsidiaries of large corporate groups
- PE/VC-controlled companies
- No visible activity in the last 2 years

Approximately 60–65% of companies were rejected at this stage.

Step 4: Deep Analysis (Shortlisted ~35–40 companies)

For remaining companies, detailed research was conducted:

- Product-level analysis (specific vs commodity)
- Manufacturing verification (plant, facility, production capability)
- Founder / decision-maker background
- Industry positioning and differentiation
- Growth indicators

4. Evaluation Framework — Federer Score

Each company was evaluated across 6 criteria:

Criterion | Description

C1 | Manufacturer (in-house production)

C2| India-based operations

C3| Product differentiation

C4| Technical decision-maker

C5| Sector growth potential

C6| Active growth signals

Scoring Method

Each criterion was rated as:

- Strong → Full weight
- Moderate → Half weight
- Weak → Zero

Total score calculated out of 100.

Score Interpretation

Score | Category | Meaning

80–100 | A Band | Strong Fit

60–79 | B Band | Good Fit

40–59 | C Band | Borderline

<40 | D Band | Rejected

5. Growth Signal Analysis (C6)

A company was considered actively growing if it met at least 2 of the following signals:

- Active hiring (LinkedIn / job portals)
- New plant or expansion announcement
- Recent certifications or approvals
- Updated website / recent activity

- Revenue growth or export expansion

6. Final Selection Process

- Initial pool: ~90 companies
- After filtering: ~35 companies
- Final selected: 25 companies

Final Composition:

- A Band (Strong Fit): ~12 companies
- B Band (Good Fit): ~13 companies
- Rejects: Documented separately (not included in final list)

7. Key Insights & Learnings

1. Low Signal-to-Noise Ratio

A large number of companies in the sector:

- Are traders or distributors
- Lack true manufacturing capability

2. Size Filtering is Critical

Many technically strong companies were excluded due to:

- Revenue exceeding Rs.500Cr
- Being part of large corporate groups

3. Differentiation Drives Quality

Top companies showed:

- Niche chemistry expertise
- Export-oriented products
- Technical barriers to entry

4. Technical Leadership Matters

Companies with:

- Engineering/scientific founders
 - Strong R&D culture
- Scored significantly higher

5. Growth Signals Separate Active vs Stagnant Firms

Companies with:

- Hiring activity
 - Expansion projects
- Were consistently stronger fits

8. Limitations

- Revenue data was estimated using publicly available sources
- Some private company data had limited visibility
- Growth signals relied on observable indicators (not internal data)

9. Conclusion

This analysis demonstrates that only a small fraction (~25–30%) of companies in the specialty manufacturing space truly meet high-quality ICP criteria.

The final 25 companies selected represent:

- Technically strong manufacturers

- Promoter-driven organizations
- Actively growing businesses in high-potential sectors

These companies are best suited for structured growth frameworks and targeted engagement strategies.